

China A-Share Quantitative Trading

Investor Guide — StarClaw Quant Team

China A-Share Quantitative Trading — Investor Guide

How to participate in AI-powered algorithmic trading on China's stock market

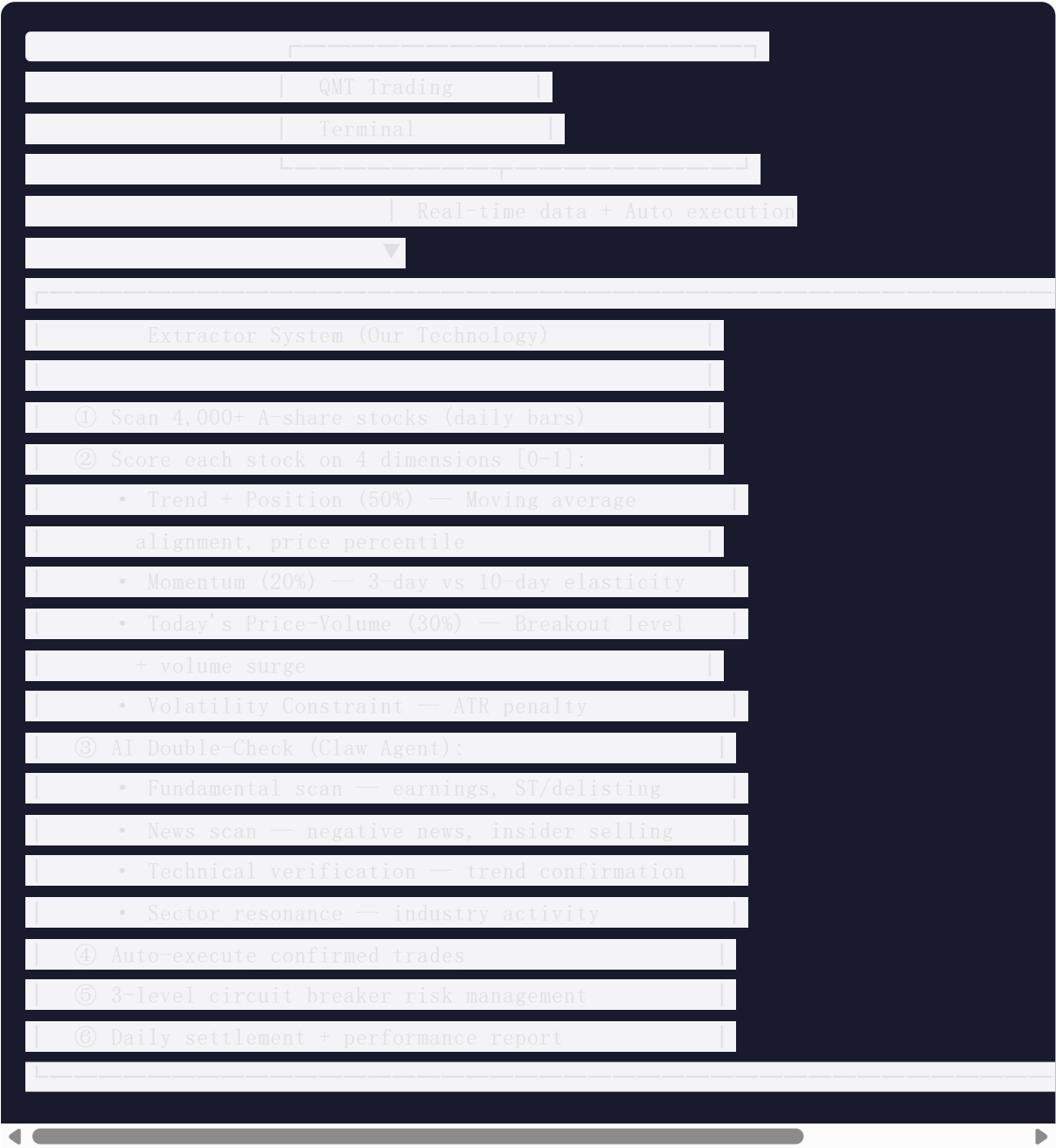
What We Do

We built an **AI-powered quantitative trading system (codename: Extractor)** that automatically scans 4,000+ stocks listed on the Shanghai and Shenzhen Stock Exchanges, identifies "main wave" breakout signals, and executes trades after AI confirmation.

Our Unique Edge: Quantitative Scoring × AI Double-Check

Traditional Quant	Our System
Technical indicators → Execute directly	4-dimensional scoring → AI analyzes fundamentals, news, sector activity → Execute after confirmation
Vulnerable to earnings bombs & sudden bad news	AI pre-filters risks: earnings warnings, insider selling, policy changes
Fixed strategy can't adapt	Auto-detects bull/sideways/bear market, dynamically adjusts parameters

How Our System Works



How to Open an Account

For Chinese Residents (Easiest)

1. **Download a broker app** — We recommend GuoJin Securities (国金证券)

2. **Online account opening** — Takes 10 minutes, need ID card + bank card
3. **Apply for QMT access** — Ask your account manager to enable quantitative trading
4. **Done** — No minimum balance required for testing

For Foreign Investors (Including US Citizens)

Foreign individuals can invest in China A-shares through two routes:

Route A: Direct A-Share Account (QFII-like)

- Requires: Passport + China visa + Chinese bank account
- Must open in person at a brokerage office in China
- Restrictions apply — consult the broker in advance
- **Not recommended** for most foreign investors due to complexity

Route B: Stock Connect (Recommended for Foreign Investors) 🌟

Invest in A-shares through **Shanghai-Hong Kong Stock Connect** and **Shenzhen-Hong Kong Stock Connect**, without needing a Chinese account.

Broker	Stock Connect Access	Account Opening	Language
Interactive Brokers (IBKR)	✓ Shanghai + Shenzhen Connect	Online, 1-2 days	English
Futu (moomoo)	✓	Online	English + Chinese
Tiger Brokers	✓	Online	English + Chinese
HSBC Hong Kong	✓	In-person (HK)	English

Our recommendation: Open an IBKR account → Enable "Hong Kong Stock Connect" → You can trade ~2,000 A-share stocks directly.

Stock Connect covers: - All Shanghai Stock Exchange 180 & 380 index constituents -
 All Shenzhen Stock Exchange Component & Small/Mid Cap index constituents -
 Total: ~2,000 stocks (covers most liquid large & mid caps)

How Much Money Do You Need

Stage	Amount	What You Can Do
Paper Trading (Simulated)	¥0 / \$0	Test strategies with virtual money. Zero risk.
Minimum Live Trading	¥5,000 – ¥20,000 (~\$700 – \$2,800)	Run basic strategy on 3-5 stocks
Recommended Start	¥50,000 – ¥200,000 (~\$7,000 – \$28,000)	Diversified portfolio, 8-15 stocks, full risk management
Standard Allocation	¥500,000+ (~\$70,000+)	Multiple concurrent strategies
Professional Scale	¥1,000,000+ (~\$140,000+)	Full strategy suite + hedging + IPO subscription

For Foreign Investors via Stock Connect

- IBKR minimum: **\$0** (no minimum)
- Recommended: **\$5,000 – \$20,000** for meaningful testing
- Stock Connect settlement in CNH (offshore RMB) or HKD

Our Suggestion

Start with paper trading (\$0) for 2-4 weeks, then allocate \$10,000 – \$30,000 for initial live testing via Stock Connect.

Important A-Share Market Rules

Rule	Details
T+1 Trading	Stocks bought today can only be sold tomorrow (no same-day round trips)
Price Limits	Main board: ±10% daily limit; ChiNext/STAR: ±20%
Minimum Lot	100 shares (1 lot) — most stocks are ¥5-50/share, so 1 lot = ¥500-5,000
Trading Hours	9:30-11:30 AM, 1:00-3:00 PM (Beijing Time, UTC+8)
No Short Selling	Retail investors generally cannot short A-shares
Stamp Tax	0.05% on sell side only (government tax)

Risk Management — 3-Level Circuit Breaker

Level 1: Per-Strategy

- Per-trade stop loss: **-2%** auto-close
- Daily strategy loss: **-3%** pause strategy
- Single stock max: **25%** of portfolio

Level 2: Per-Account

- Account daily drawdown exceeds threshold → pause all strategies
- Available cash below 20% → block new positions
- 3 consecutive losing days → auto-reduce 50% + alert

Level 3: System-Wide

- Total drawdown > **-5%** → **Full circuit break** (cancel all orders, block all trading)
- System connection failure → emergency cancel all pending orders
- Extreme market conditions → emergency liquidation protection

Profit Distribution

After market close each trading day (3:30 PM Beijing):

Net Profit = Realized P&L - Commission - Stamp Tax

60% → Reinvested (compound growth)

20% → Investor returns (withdrawable per agreement)

10% → Technology team management fee

10% → Risk reserve fund (covers losing days)

Losing days: No distribution, covered by reserve fund.

Fee Structure

Item	Cost
Broker commission	~0.015% each way (buy + sell)
Stamp tax	0.05% (sell only, government tax)
Transfer fee	0.001%
Our management fee	Profit sharing (to be discussed)
System fee	None
Account minimum	None (recommend ¥50,000+ / \$7,000+)

What You See as an Investor

Real-Time Dashboard

-  All positions, P&L, and trade history at a glance
-  Daily report: what was bought/sold and AI's reasoning

- 🚨 Risk alerts: immediate notification on circuit breaker triggers
- 📊 Monthly performance: return curve, max drawdown, Sharpe ratio, vs CSI 300 benchmark

What You DON'T Need to Do

- ❌ No need to watch the market
- ❌ No need to make trading decisions
- ❌ No need to understand technical analysis
- ❌ No need to install any software

Transparency & Security

- ✅ Your money stays in **your own brokerage account** — we cannot withdraw funds
- ✅ We only have trading permission (buy/sell), never fund transfer permission
- ✅ All trades are recorded by the broker, fully auditable
- ✅ You can revoke API access at any time to stop automated trading

Next Steps

1. **Open a brokerage account** — IBKR (for Stock Connect) or GuoJin Securities (for direct A-share)
2. **Enable quantitative trading access** — Request QMT/API permission
3. **Share account credentials** — We only need API keys, never your password
4. **We connect and start paper trading** — 2-4 weeks of simulated testing
5. **Review results together** — Verify strategy performance
6. **Go live** — Fund the account and switch to real trading

Risk Disclosure

 **All trading involves risk. Past performance does not guarantee future results.**

- Quantitative systems can generate losses due to extreme market volatility, technical failures, or model limitations
- AI analysis is based on historical data and public information — it cannot perfectly predict the future
- China A-share market is regulated by the CSRC (China Securities Regulatory Commission)
- Foreign investors face additional risks including currency fluctuation (RMB/USD) and regulatory changes
- **Only invest money you can afford to lose**

Prepared by the StarClaw Quantitative Trading Team

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